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TECH

Facebook Posts Surge in Revenue as It Tackles User-Data Crisis

Results suggest advertisers were undeterred by uproar around Cambridge Analytica incident

By Deepa Seetharaman

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Facebook's earnings report marks the first snapshot of how the company's ties to Cambridge Analytica are affecting its business. PHOTO: SHAWN THEW/EPA/SHUTTERSTOCK

Facebook Inc., in its first earnings report after touching off widespread data-privacy concerns, posted soaring revenue and profit that highlighted the company's central place in the digital economy.

The social-media giant has weathered one crisis after another in the 17 months since the 2016 presidential election, but its business—at least for now—is still thriving.

Facebook reported quarterly per share profit of \$1.69, up from \$1.04 a year earlier, while revenue rose nearly 50% to \$11.97 billion. Net income rose 63% to nearly \$5 billion, compared with \$3.06 billion a year ago.

Those results topped analyst expectations.

Executives acknowledged that Facebook must better police its platform, but insisted they could do so without overhauling its lucrative advertising business, dismantling tools for targeting consumers, or offering a paid version of the service.

“We are taking a broader view of our responsibility and investing to make sure our tools are used for good,” Chief Executive Mark Zuckerberg said during a call with analysts. “And we also need to keep moving forward, building new tools to help people connect, build community and bring the world closer together.”

Facebook added about 70 million monthly users during the first three months of the year bringing its overall user base to 2.2 billion, up from 2.13 billion at the end of 2017.

The Menlo Park, Calif., company also said it would buy back an additional \$9 billion in shares, adding to the \$6 billion previously authorized.

In after-hours trading Wednesday, Facebook shares rose about 7%. Since a record high in early February, the company’s shares had fallen more than 18% before the earnings release.

Facebook’s earnings report marks the first snapshot of how the company’s ties to political-data firm Cambridge Analytica are affecting the Silicon Valley giant’s business.

Cambridge Analytica aided the Trump campaign in 2016 and allegedly bought data about tens of millions of Facebook users from an outside developer. The incident,

disclosed in mid-March, highlighted Facebook's at times lax oversight of how outside developers handled user data they extracted from the platform.

It also sparked anger toward the site and prompted a #deletefacebook campaign. Cambridge Analytica has denied wrongdoing.

Much of the fallout happened after the quarter ended in March and isn't fully reflected in the earnings report. But Facebook Chief Operating Officer Sheryl Sandberg said Wednesday that the company hadn't seen a "meaningful trend" of advertisers fleeing the platform amid the criticism of its privacy practices.

Major advertisers "were very aware of the controversies swirling and wanted to know more about what other brands were doing," said Andy Taylor, associate director of research at data marketing firm Merkle. "But really, in terms of making moves, advertisers are more in a wait-and-see mode."

Mr. Taylor added that most advertisers generally remain happy with Facebook's products. He noted that its struggles haven't yet provoked the same kind of outrage toward advertisers as last year's controversy surrounding Alphabet Inc.'s YouTube and its placement of ads adjacent to videos with objectionable content.

The uproar over Cambridge Analytica is the latest episode to spur questions over Facebook's reach. The period since the 2016 election has been tumultuous, with users, advertisers and lawmakers questioning whether the company sacrificed security and privacy in pursuit of relentless growth.

On Wednesday, executives uniformly defended Facebook's business model, saying it was possible to deliver targeted advertising without violating users' privacy. Facebook allows users to turn off some targeted ads, but not all.

“Advertising and protecting people’s information are not at odds,” Ms. Sandberg said. “We do both.”

Mr. Zuckerberg appeared twice in front of U.S. lawmakers this month in hearings centered on the Cambridge Analytica episode, and Facebook has redoubled efforts to stamp out abuse.

Still, most analysts and investors believe additional regulation is inevitable, although it isn’t clear what form it will take or what impact it would have on Facebook’s bottom line.

Mr. Zuckerberg told lawmakers that he was open to some forms of regulation but added that too many rules could impede American tech companies from competing head-to-head with Chinese rivals.

In one indication of how tougher oversight could limit growth, Facebook Chief Financial Officer David Wehner said Wednesday that average monthly and daily user growth in Europe could be flat or down as a result of new privacy regulations scheduled to go into effect there in May.

Earlier this week, Google’s parent company, Alphabet—Facebook’s biggest rival in the online-ad space—reported a profit for the first three months of the year that topped expectations, but investors grappling with the company’s higher expenses sent the shares down 4.8%, the stock’s worst session in more than two months.

However, Alphabet executives played down the expected impact of the European rules, saying its search ads rely less on the type of personal targeting that will be limited by the regulation.

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